

framing issues that are acute in the Fourth Quadrant. They are much more benign elsewhere.

- * Most of the smear campaign I mentioned earlier revolves around misrepresentation of the insurance-style properties and performance of the hedging strategies for the barbell and “portfolio robustification” associated with Black Swan ideas, a misrepresentation perhaps made credible by the fact that when one observes returns on a short-term basis, one sees nothing relevant except shallow frequent variations (mainly losses). People just forget to cumulate properly and remember frequency rather than total. The real returns, according to the press, were around 60 percent in 2000 and more than 100 percent in 2008, with relatively shallow losses and profits otherwise, so it would be child’s play to infer that returns would be in the triple digits over the past decade (all you need is one good jump). The Standard and Poor’s 500 was down 23 percent over the same ten-year period.